

extraordinary heights — was the simple fact that the Astors were reluctant sellers. Once they got hold of a good thing, they held on and allowed the magic of compounding to do its work.”

One more anecdotal example from today: Ronald Read.

Anna Prior wrote a wonderful story about him for the *Wall Street Journal*.

The headline was “The Frugal Man Who Left an \$8 Million Estate.”

Ronald Read was a janitor at JC Penney “after a long stint at a service station that was owned in part by his brother.” So how did he make his money? He was a good stock picker. But more important, he was patient.

He had 95 stocks when he died. Many of these he held for decades.

He owned pieces of a variety of sectors but avoided technology. When he got dividends, he used them to buy more shares. He owned Procter

& Gamble, JP Morgan, JM Smucker, Johnson & Johnson and other blue chips. Not every stock he owned was a winner. But the profits from the winners overwhelmed the losers.

Read also physically held his stock certificates. This had to make it easier to hold onto his stocks. They became more real, like a piece of property instead of just a glowing stock-ticker symbol that existed on computer screens.

Fees eventually made it impractical to hold certificates, so he switched to having his shares held by the official record keeper of share ownership (called the transfer agent) that each company employs. This is a thrifty option and the record shows Read paid very low fees.

The story of Ronald Read shows you the power of simple investing concepts: keeping fees low, investing in quality companies, reinvesting dividends and — most importantly for our purposes — the power of just holding on.

So, you can certainly make a case for “almost never.”

But even Fisher allows there are reasons to sell:

- You’ve made a mistake — that is, “the factual background of the particular company is less favorable than originally believed.”